



Reforming Federal Research Funding

RAND Comments on the Office of Management and Budget's May 2026 Notice of Proposed Rulemaking Revising the Guidance for Federal Financial Assistance

About This Comment

In May 2026, a notice of proposed rulemaking entitled “Regulation for Federal Financial Assistance” was published in the *Federal Register* by the Office of Management and Budget (OMB) and many other federal agencies.¹ This document presents RAND’s comment on the proposed changes to 2 CFR,² which governs the administration of federal financial assistance awards across the federal government, including grants, cooperative agreements, and other forms of assistance. These changes fall into several broad categories: redefining the legal status of OMB’s guidance from advisory to binding regulation that federal agencies must follow; restricting the categories of topics and activities eligible for federal funding; revising cost principles that determine what expenditures recipients may charge to federal awards; and modifying the processes governing how awards are made, managed, suspended, and terminated.

Many of the comments that OMB has received on the rulemaking address the proposed shift from guidance to controlling regulation, legal questions, and the new restrictions on fundable topics and activities. This comment addresses the operational implications of the proposed rule for research organizations, because these implications are significant and may be underrepresented in other public comments.

RAND is a nonprofit, nonpartisan research organization committed to the public interest. This comment draws on 78 years of experience managing federal research awards in compliance with federal grant award regulations. It was developed by Andrew R. Morral and Marjory S. Blumenthal, with substantial contributions from RAND’s Finance and Operations team, its Office of the General Counsel, its Office of Communications and External Affairs, and senior RAND researchers.

¹ Office of Federal Financial Management, Office of Management and Budget; Department of Health and Human Services; Department of Agriculture; Department of State; Agency for International Development; Department of Veterans Affairs; Department of Energy; Department of the Treasury; Department of Defense; Department of Transportation, et al., “Regulation for Federal Financial Assistance,” *Federal Register*, Vol. 91, No. 103, May 29, 2026, <https://www.federalregister.gov/documents/2026/05/29/2026-10817/regulation-for-federal-financial-assistance>.

² Code of Federal Regulations, Title 2, Federal Financial Assistance.

Introduction to the Comment by RAND's General Counsel

This comment assesses the operational effects of the proposed rulemaking, entitled “Regulation for Federal Financial Assistance,”³ on organizations that receive and manage federal research awards, focusing on provisions that may impose additional administrative burden, generate waste, reduce transparency, or raise reliance interest concerns. The comment is organized around three broad themes:

- **New compliance requirements and administrative burdens.** Whereas some rule changes offer welcome reductions in recipient burden, others that we highlight would instead impose new process requirements, eliminate established subaward and subcontracting flexibilities, or create monitoring obligations with no defined scope or trigger for when they apply. The Regulatory Impact Analysis (RIA) does not quantify the costs or benefits of these changes, although data may be available to examine these trade-offs.
- **Award life-cycle predictability and merit-based selection.** Research organizations cannot plan, propose, or perform effectively when the rules governing their awards are unpredictable. Several provisions risk creating costly disruptions to existing awards and reduce transparency in the merit review process. Together, these risk increasing waste of public resources, creating unrecoverable losses for recipients, and reducing the pool of research proposals the government would otherwise receive.
- **Ambiguities about allowable costs.** Several proposed revisions to the 2 CFR Part 200 cost principles use language with two plausible readings: one that is consistent with current practice and one that would impose significant compliance burdens and unrecoverable costs for activities that are critical to many of the objectives of Gold Standard Science (Executive Order 14303).⁴ These ambiguities create audit exposure on active awards. If the more problematic interpretations govern, they would impose costs on awardees and reduce returns on U.S. research investments that the RIA does not quantify.

³ Office of Federal Financial Management, Office of Management and Budget; Department of Health and Human Services; Department of Agriculture; Department of State; Agency for International Development; Department of Veterans Affairs; Department of Energy; Department of the Treasury; Department of Defense; Department of Transportation, et al., “Regulation for Federal Financial Assistance,” *Federal Register*, Vol. 91, No. 103, May 29, 2026, <https://www.federalregister.gov/documents/2026/05/29/2026-10817/regulation-for-federal-financial-assistance>.

⁴ Code of Federal Regulations, Title 2, Federal Financial Assistance; Subtitle A, Office of Management and Budget Guidance for Federal Financial Assistance; Chapter II, Office of Management and Budget Guidance; Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards; Executive Order 14303, “Restoring Gold Standard Science,” Executive Office of the President, May 23, 2025.

These three themes address four questions on which the Office of Management and Budget (OMB) requested comments: the request for information on requirements that increase administrative burden, the request for comment on reliance interests, the invitation to identify policies not required by statute that OMB may consider removing, and the invitation to comment on the RIA.

The recommendations in this comment are intended to help OMB achieve its stated objectives while avoiding the unintended consequences identified.

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RAND Comments on the Proposed Rule “Regulation for Federal Financial Assistance”

Theme 1. New Compliance Requirements and Administrative Burdens

Although some proposed changes *reduce* recipient burden, several others would impose new costs, eliminate established subaward and subcontracting flexibilities, or create ambiguous compliance obligations that will require ongoing legal analysis to navigate. The Regulatory Impact Analysis (RIA) does not quantify these costs.

[200.202(f)] Multi-Year Award Budget Periods⁵

Encouraging agencies to structure multi-year awards with budget periods longer than one year would reduce the administrative burden on both federal agencies and recipients. This would be a helpful change that promotes continuity in research project planning and execution. It would also reduce the potential for research project delays while awaiting the next year’s funding notice.

[200.401(c)] FFRDC Exemption from 48 CFR 31.2 Cost Principles

Under the current 2 CFR,⁶ nonprofits exempted from having to adhere to the cost principles in 2 CFR Part 200, Subpart E, are explicitly named in 2 CFR Appendix VIII.⁷ The rule change removes Appendix VIII but revises § 200.401(c), which exempts nonprofits operating federally funded

⁵ Section numbers in brackets refer to the text of the proposed rule (Office of Federal Financial Management, Office of Management and Budget; Department of Health and Human Services; Department of Agriculture; Department of State; Agency for International Development; Department of Veterans Affairs; Department of Energy; Department of the Treasury; Department of Defense; Department of Transportation, et al., “Regulation for Federal Financial Assistance,” *Federal Register*, Vol. 91, No. 103, May 29, 2026, <https://www.federalregister.gov/documents/2026/05/29/2026-10817/regulation-for-federal-financial-assistance>).

⁶ Code of Federal Regulations, Title 2, Federal Financial Assistance.

⁷ Code of Federal Regulations, Title 2, Federal Financial Assistance; Subtitle A, Office of Management and Budget Guidance for Federal Financial Assistance; Chapter II, Office of Management and Budget Guidance; Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards; Subpart E, Cost Principles; Code of Federal Regulations, Title 2, Federal Financial Assistance; Subtitle A, Office of Management and Budget Guidance for Federal Financial Assistance; Chapter II, Office of Management and Budget Guidance; Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards; Appendix VIII to Part 200—Nonprofit Organizations Exempted from Subpart E of Part 200.

research and development centers (FFRDCs). This provision, along with the elimination of Appendix VIII, streamlines the regulations and prevents the need for amendments as organizations become eligible or ineligible for exemption from 2 CFR Part 200, Subpart E.

Recommendation: Organizations exempted from using the cost principles in 2 CFR Part 200, Subpart E, must frequently demonstrate to agencies that they are, in fact, exempt. Because they will no longer be able to cite the code in which they are explicitly named as exempt, the rule should specify an authoritative source of information on which organizations meet the FFRDC exemption, such as the Master Government List of Federally Funded R&D Centers maintained by the National Center for Science and Engineering Statistics within the U.S. National Science Foundation.⁸

[200.333] Elimination of Fixed Amount Subawards

Executive Order 14402 requires fixed-price contracts as the preferred vehicle for government procurement as a strategy for combating “unpredictable costs, bloated overhead, and weak performance incentives.”⁹ Award recipients use fixed amount subawards for the same reasons: as a deliberate accountability, risk management, and efficiency tool.

When work can be clearly defined in terms of deliverables, fixed amount subawards offer a superior structure: Recipients receive full cost proposals from subrecipients to verify budget reasonableness and cost allowability, but payment is tied to delivery of agreed-upon work products rather than reimbursement of actual costs. This ensures that performance, rather than activity, is the metric by which subrecipients are evaluated and paid. The administrative burden on both the recipient and the subrecipient is lower than under a cost-reimbursement structure, because ongoing monitoring of actual expenditures, financial reporting requirements, and invoice review are replaced by a cleaner deliverable-based process. This is the outcome that Executive Order 14402 is designed to achieve.

In other contexts, fixed amount subawards are useful for managing risk in collaborations with higher-risk subrecipients—including foreign subawardees, entities with limited experience under 2 CFR Part 200, and subrecipients with recent audit findings—in which capping financial exposure and tying payment to performance provides essential cost controls consistent with 2 CFR 200.519 and 2 CFR 200.332.¹⁰ Eliminating fixed amount subawards would require recipients to replace this cost-effective structure with cost-reimbursement subawards in both cases, increasing administrative burden, removing performance incentives, and undermining the stated goal of the rule: accountability.

⁸ National Center for Science and Engineering Statistics, “Master Government List of Federally Funded R&D Centers,” webpage, February 2026, <https://ncses.nsf.gov/resource/master-gov-lists-ffrdc>.

⁹ Executive Order 14402, “Promoting Efficiency, Accountability, and Performance in Federal Contracting,” Executive Office of the President, April 30, 2026.

¹⁰ Code of Federal Regulations, Title 2, Federal Financial Assistance; Subtitle A, Office of Management and Budget Guidance for Federal Financial Assistance; Chapter II, Office of Management and Budget Guidance; Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards; Subpart F, Audit Requirements; Auditors; Section 200.519, Criteria for Federal Program Risk; Code of Federal Regulations, Title 2, Federal Financial Assistance; Subtitle A, Office of Management and Budget Guidance for Federal Financial Assistance; Chapter II, Office of Management and Budget Guidance; Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards; Subpart D, Post Federal Award Requirements; Subrecipient Monitoring and Management; Section 200.332, Requirements for Pass-Through Entities.

Recommendation: Consistent with the logic of Executive Order 14402, we recommend that OMB retain fixed amount subawards and revise the provision to require documentation in the award file justifying their use and demonstrating how the fixed amount structure promotes performance accountability and cost efficiency.

[200.332(i)] Pass-Through Entity Consultation on Subrecipient Reputational Actions

This provision requires pass-through entities to consult with federal agencies when a subrecipient takes “actions that could significantly damage” the reputations of the pass-through entity, the agency, or the government. The standard is unclear and would impose new and burdensome oversight and monitoring procedures, as well as frequent legal analysis by both federal agencies and pass-through entities to determine whether a given subrecipient action triggers the consultation obligation. This will almost certainly increase government-reimbursable overhead costs (a subset of indirect costs) for pass-through entities. The RIA does not quantify these costs.

“Significantly damage” as it relates to reputations is undefined, the range of subrecipient activities that could be characterized as damaging is wide, and the rule appears to apply to any action taken by subrecipients, not just those specific to their subaward. A subrecipient that experiences a data breach, becomes the subject of negative media coverage, faces an enforcement action by a state regulator, or is named in litigation could, under some reading, “significantly damage” the reputation of the government. A subrecipient with a staff member who becomes the subject of an enforcement action, adverse media coverage, or public controversy unrelated to the funded work could fall within the provision’s reach. The standard contains no limiting principle distinguishing ordinary institutional activity and routine operational challenges from actionable reputational harm. Because the obligation to consult arises when any action “could significantly damage” reputations—not when it actually does—pass-through entities must make a forward-looking judgment about reputational risk under an undefined standard.

Current subrecipient monitoring requirements focus on grant performance: financial compliance, expenditure of funds consistent with approved budgets, and delivery of agreed-upon work products. The § 200.332(i) consultation obligation would require something different and more comprehensive: continuous monitoring of a subrecipient’s public profile, statements, and activities outside the scope of grant performance. To fulfill this obligation, pass-through entities would need to track subrecipients’ publications, public statements, media coverage, advocacy activities, litigation posture, and potentially staff social media activity, all in addition to evaluating whether the subrecipient is performing the funded work. For organizations that manage large portfolios of subrecipient relationships, this represents a significant and open-ended monitoring burden with no defined scope, trigger threshold for consultation, or termination point.¹¹ The RIA does not acknowledge or quantify this cost, which would be substantial if such extensive monitoring were even feasible.

Recommendation: OMB should remove § 200.332(i) from the rule. If OMB retains the provision, OMB should define *significant reputational harm*; distinguish it from actions related to

¹¹ RAND, for instance, manages hundreds of active subrecipients.

research findings, conclusions, or recommendations; and limit the monitoring obligation to the subrecipient's performance on the subaward.

[200.305(c)(2)] Payment Justification Requirements

The proposed rule would require every payment request from recipients and subrecipients—other than states—to include a written justification describing the purpose of the payment and the specific award-related work it supports. OMB describes this change as increasing “accountability for Federal disbursements” consistent with Executive Order 14222 but provides no empirical basis for concluding that existing accountability mechanisms are inadequate or that payment-level justifications would improve them.¹²

Federal awards are already subject to extensive oversight at every stage of performance. Recipients must maintain internal financial controls and are subject to annual Single Audit requirements above the expenditure threshold. They submit progress reports—quarterly, semi-annual, or annual, depending on award terms—that document milestone completion and link expenditures to activities. Recipients are subject to monitoring visits, post-award audits, and cost allowability reviews. These mechanisms already condition disbursement on demonstrated performance and give federal agencies a clear picture of how funds are being used.

Given the extensive existing oversight framework, it is not clear that the marginal improvement in oversight offered by payment justifications would offset the organizational costs that would be incurred. Good evidence bearing on these questions should be available, because payment justification was implemented in 2025 as part of the government's Defend the Spend program. OMB could justify this rule change by demonstrating that Defend the Spend produced measurable reductions in improper payments or meaningfully improved identification of fraud at agencies that implemented demanding versions of this requirement such as proposed in § 200.305(c)(2) (e.g., the Centers for Disease Control and Prevention, the Administration for Children and Families, and the Department of State) compared with rates at agencies that implemented only pro forma justification requirements. Although that evidence should be available, the RIA provides no such analysis.

For a research organization managing dozens of active awards with biweekly payment cycles, this requirement would add substantial administrative labor annually. For an organization managing about 70 awards, we estimate that approximately 2,730 hours in additional labor would be required in the first year. The RIA describes the costs of this change as “modest” without quantitative support. Research organizations would invest in new systems and processes that would reduce this burden over time but could not eliminate it entirely.

Recommendation: OMB should clarify that an approved award budget satisfies the payment justification requirement for regularly scheduled payment draws, reserving the progress reporting requirement for payment requests that deviate materially from the approved schedule or budget.

¹² Executive Order 14222, “Implementing the President's ‘Department of Government Efficiency’ Cost Efficiency Initiative,” Executive Office of the President, February 26, 2025.

Theme 2. Rule Changes That Harm Award Life-Cycle Predictability and Merit-Based Selection

The proposed changes to termination, suspension, and appeals create serious reliance interest concerns, impose unquantified real costs on recipients when awards are suspended or canceled, and remove administrative safeguards that help the government and recipients avoid waste of public funds. Several provisions also introduce undefined compliance criteria that will cause research organizations to adopt risk-averse proposal policies that avoid topics that could conceivably trigger undefined compliance thresholds, depriving the government of proposals and work that are in its interest to fund.

[200.340(a)(2)] Discretionary Termination of Awards

OMB characterizes discretionary termination as a clarification of existing authorities and therefore anticipates little or no cost associated with this change. For the purposes of this comment, we treat this provision as a new authority.

Discretionary termination is a standard tool in federal procurement, where the Federal Acquisition Regulation (FAR) allows agencies to realign contract work with changing needs. But whereas the proposed rule introduces a termination-for-convenience framework like that found in the FAR, it discards protections available through the FAR that ensure equitable terms for both parties. Under the FAR, for instance, contractors may submit termination settlement proposals to recover costs incurred, and they retain full appeal rights under the Contract Disputes Act to an administrative board or the Court of Federal Claims.

The RIA characterizes discretionary terminations as having only transfer effects, not costs. In the research assistance context, termination imposes costs on both parties. The government has paid for work that will often produce no findings, data, or other public benefit. The knowledge that a study was designed to produce often does not exist in partial form: A policing effectiveness study canceled before outcomes data are collected cannot provide any effectiveness information even if 80 percent of its budget has been expended. Most returns on research investment are realized at completion or not at all.

Recipients and subrecipients also bear unrecoverable costs that the RIA does not acknowledge. Research organizations make employment commitments to staff hired on specific projects—commitments that cannot be immediately reversed when an award is terminated. Staff whose time is charged to terminated projects cannot always be transferred to other ongoing work, and employment agreements may obligate organizations to provide a notice period before laying off such staff. During that period, the organization incurs overhead costs that cannot be recovered against the terminated awards.

Because the timeline between developing proposals aligned with changed government priorities and eventual award of new work is often many months to over a year, staff support through these transitions can require prolonged and costly overhead spending. These costs are borne by the research institution, not the federal government, even though they result directly from federal termination decisions. Because decisions about laying off staff or covering their time on overhead raise difficult

trade-offs, abrupt terminations impose significant management burdens on leadership and senior administrators, which is another significant organizational cost.

There are often project wind-down expenses that, under the proposed rule, could not be recovered, which would then become an institutional expense. Research projects involving human participants present many challenges: A longitudinal survey with hundreds of participants cannot responsibly shut down without first contacting participants, explaining to them that the project ended prematurely, and informing them what will happen with the data they have already provided. This ethical obligation to participants exists regardless of whether funding continues. Subawards, consulting agreements, software licenses, and many other procurement contracts must be canceled. Contracted services (such as rental space for field offices or software licenses needed only for the terminated research project) may remain obligations for which the awardee must pay and that cannot be recovered.

Administrations need flexibility to shape federal research agendas that reflect national priorities. When in-progress research truly no longer serves any useful purpose, there is a straightforward case for reallocation. But because research requires sustained investment before yielding results, sunk costs from mid-project terminations are often substantial and largely unrecoverable.

Over the timescales that federal research support operates, the routine use of discretionary termination across administrations could produce substantial waste. Without cost data specific to this authority, we cannot estimate the aggregate magnitude, but the scale of federal research investment suggests that losses attributable to funds expended on terminated projects warrant quantification in the RIA. Any individual decision might look like sound resource management. The aggregate effect, however, could be a material reduction in the share of federally funded research that can provide a return on the public's investment. These costs fall on multiple parties: The federal government loses its investment in incomplete research; research institutions incur unrecoverable overhead and wind-down costs; staff face job losses and career disruption; and research participants whose time and efforts were contributed in good faith receive no benefit.

Recommendation: Discretionary termination for reasons unrelated to recipient performance generates significant costs for recipients, agencies, and the public. In the final rule, these costs should be weighed against the unclear benefits of discretionary termination. If OMB retains discretionary termination authority, the rule should require 90-day advance notice for project wind-down and staff transition, and agencies should be required to document a factual basis for any discretionary terminations.

[200.342] Elimination of Appeal Rights for Discretionary Terminations

Many research institutions have had awards terminated in error, a fact that only comes to light when appeals are possible and the agency agrees, upon review, that the award is in the government's interest and the original termination was premised on a misunderstanding. Mistakes like this are inevitable. But without an appeals process, both the recipients' substantial investments in developing and winning awards and the government's investment in reviewing, selecting, and processing them would be wasted. Eliminating appeals ensures that such errors and associated waste cannot be corrected.

As noted above, the proposed rule adopts a discretionary termination framework like that of the FAR, without also incorporating the FAR's robust appeals process with review available before an administrative Board of Contract Appeals or the Court of Federal Claims. Both are necessary to make the FAR's termination-for-convenience doctrine workable and equitable. OMB has not explained why grant recipients should have fewer procedural protections than federal contractors when the government exercises the same discretionary authority.

Recommendation: OMB should revise the rule to ensure the availability of an administrative appeals process for discretionary terminations. Recipients should be permitted to appeal on the grounds that the award aligns with current agency priorities or the national interest, with review conducted by an official independent of the terminating official.

[200.340(e)] Suspension Reform

OMB characterizes suspension reform as a clarification of existing authorities and therefore anticipates little or no cost associated with this change. For purposes of this comment, we treat this provision as a new authority.

Temporary pauses impose costs that recipients cannot easily mitigate. Staff whose time is charged to suspended projects cannot immediately be shifted to other billable work, which means that their salaries become unrecoverable costs. Although associated subawards and subcontracts can be structured to permit temporary suspensions consistent with their terms, doing so could have a significant adverse financial impact on small business subrecipients. Similarly, certain operating costs, such as leased office space for field staff, generally continue regardless of whether an award is temporarily paused, leaving recipients responsible for expenses that cannot readily be reduced.

Discretionary suspensions can damage or ruin research projects, wasting federal resources. Research projects are often carefully timed around external events: An education project collecting start- and end-of-school-year student assessments cannot pause for 90 days in the spring without damaging or destroying the value of the entire study. Research participants whose interviews are canceled because of a suspension may be lost to the project after 90 days, forcing new recruitment costs and timeline delays. Community partners, such as those launching a new service or program, may not be willing or able to delay their launch 90 days to accommodate the needs of research.

Recommendation: OMB should require that suspension orders state the specific basis for the suspension and an expected resolution timeline. Recipients should be entitled to reimbursement for all allowable costs properly incurred before receipt of a suspension order and for verifiable costs necessarily incurred during the suspension that cannot be mitigated. Suspension authority should be reserved for circumstances in which there is a documented basis to believe that the award may require termination rather than a general administrative hold or review mechanism.

[200.343] Reimbursement of Costs During Suspension and Termination

For discretionary terminations, the proposed rule establishes a process through which recipients may request reimbursement of wind-down costs, requiring a certified written statement documenting costs, financial obligations, and mitigation steps taken (§ 200.341(c)). Costs properly incurred before

the effective date of termination remain allowable under § 200.343(a). This establishes a more structured process than prior regulations provided for discretionary actions of this type.

However, the protection is incomplete. Under § 200.343(b), reimbursement of post-termination wind-down costs is explicitly not *required*; the agency “may consider” authorizing them but is not obligated to do so. The standard for that determination allows the agency to weigh cost recovery against “program goals, Federal agency priorities, or the national interest,” the same grounds on which the award was terminated. An agency that ended an award for policy reasons may deny wind-down cost recovery for the same reasons, and there is no administrative appeal of that determination.

For suspensions, the framework is weaker. There is no process parallel to § 200.341(c): The suspension order requires only that recipients stop work and minimize costs (§ 200.340(e)); it establishes no mechanism for recipients to document and claim post-order costs. The only protection is § 200.343(a), which allows reimbursement of costs properly incurred *before* the suspension, but costs necessarily incurred during the suspension period itself are subject to agency discretion with no minimum standard and no documentation pathway comparable to that available for terminations.

In both cases, recipients may face immediate financial obligations described above—personnel notice periods, subcontract cancellation costs, field office leases, and obligations to research participants—while their ability to recover those costs depends entirely on agency discretion. These costs are borne by the research institution even though they result directly from federal decisions.

As noted earlier, the rule creates discretionary termination and suspension authorities like those found in government procurement contracts and applies them to assistance awards. But whereas the FAR makes this workable by guaranteeing the contractor the right to recover all allowable costs incurred plus a reasonable profit settlement (FAR 52.249-2¹³), the proposed rule discards the cost recovery framework that makes discretionary termination equitable.

Recommendation: The rule should establish a mandatory reimbursement entitlement for necessary and reasonable wind-down costs when awards are terminated or suspended for reasons other than recipient noncompliance. For suspensions specifically, OMB should establish a cost documentation and recovery process comparable to that provided for terminations under § 200.341(c). Recipients should not bear costs that arise solely from the government’s termination or suspension decision. If OMB retains discretionary agency reimbursement rather than establishing a mandatory entitlement, the cost recovery determination should be made by an official independent of the one who authorized the termination or suspension, and recipients should have the right to appeal an adverse cost recovery decision through the same administrative process recommended for termination appeals under § 200.342.

[200.205(b)] Pre-Issuance Political Appointee Review

The rule requires senior political appointees to conduct pre-issuance review of all discretionary awards to ensure their alignment with “the national interest,” “the President’s policy priorities,” and “Gold Standard Science.” It further requires the political appointee (or delegate) to reject any proposal

¹³ Federal Acquisition Regulation 52.249-2, Termination for Convenience of the Government (Fixed-Price).

that would “promote anti-American values,” a phrase that could be construed to include a wide range of views, opinions, and activities.

Administrations require the flexibility to direct federal resources toward their policy goals, and those goals will change over time and between administrations. All such conditions of award should, however, be explicitly disclosed in notices of funding opportunity (NOFOs), ensuring that applicants understand the criteria against which their proposals would be evaluated. Because concepts like “the national interest” and “the President’s policy priorities” allow for a wide range of interpretations, the danger posed by this rule is that political appointees will disqualify awards based on criteria that applicants were never told about. Nothing in § 200.205(b) requires that the policy priorities, national interest considerations, or other substantive grounds for rejection used in pre-issuance review be disclosed to applicants. Applicants invest thousands of dollars preparing proposals in reliance on the published evaluation standards. When a proposal is rejected on grounds that were never communicated, that investment is wasted.

When institutions cannot reliably predict where rejection thresholds lie, few will spend thousands of dollars preparing a proposal that might cross an undefined threshold. The government’s loss will be in research on topics adjacent to sensitive issues that it may have a particular interest in funding but that applicants will be unwilling to risk proposing. This chilling effect could impede the pursuit of Gold Standard Science and weaken the government’s ability to lead the world in research breakthroughs.

Recommendation: OMB should amend § 200.205(b) to require that any policy priorities or other substantive criteria used in pre-issuance review be disclosed in the NOFO. Pre-issuance review should be prohibited from rejecting proposals on grounds not enumerated in the applicable NOFO. This preserves the administration’s legitimate authority to direct funding toward its priorities while ensuring that applicants have fair notice of the standards against which their proposals will be evaluated.

[200.206(b)(2)(viii)] Affiliation Risk Factor in Merit Review

The proposed rule allows the pre-issuance review official to consider recipient risk factors, including “the applicant’s membership in or affiliation with organizations engaged in activities that violate Federal law, undermine public safety or national security, or advocate for the overthrow of the United States Government.” However, “affiliation with organizations” is not defined. Unlike *national security* or *public safety*, which have established meaning across a range of regulatory contexts, the word *affiliation* carries no such established meaning and is subject to a wide range of possible interpretations by individual merit reviewers. Pre-issuance reviewers would effectively have unreviewable discretion to treat any professional association, co-authorship, conference participation, institutional partnership, research interview, or other contact—by any individual or organization associated with the award, at any point in the past—as a disqualifying “affiliation” with an organization that, in the reviewer’s sole judgment, undermines public safety.

This concern is particularly acute for research organizations focused on national security threats, such as terrorist organizations, foreign influence operations, transnational criminal networks, and hostile state actors. This is research that federal agencies fund precisely because the private sector will

not do it and because the government cannot understand threats that it has not studied. However, it is research that frequently requires forms of engagement with the organizations being studied that could be construed as affiliation. For instance, federally funded research on terrorism often involves practices that a pre-issuance reviewer could characterize as high-risk affiliations:¹⁴

- Researchers communicate directly with individuals associated with terrorist and criminal organizations to collect primary source data—a standard research methodology and one required to achieve the objectives of federal funders, including the Department of War and the Department of Homeland Security.¹⁵
- Researchers protect the anonymity of research participants affiliated with such groups and safeguard the data collected during research, as required by institutional review boards and consistent with human subjects protection regulations—a practice that could be construed as shielding members of organizations that undermine national security.
- Researchers analyze, translate, and quote materials produced by terrorist groups in order to assess their ideology, capabilities, and appeal—work that could be characterized as supporting the communication objectives of organizations that advocate violence against the United States.

Similar concerns arise in federally funded research on crime. Federal law provides confidentiality protections for data collected under Department of Justice research grants, shielding participants' information from subpoena. Those protections exist because research on crime requires participants to share information they would withhold if they feared legal exposure. Through a broad definition of *affiliation*, a pre-issuance reviewer could mistakenly characterize an organization operating under such a statutory framework as maintaining disqualifying affiliations with criminal actors in ways that undermine public safety. Yet in this case, Congress explicitly adopted the opposite view: The broader public safety interest in understanding crime requires these protections (34 U.S.C. § 10231¹⁶).

Research organizations help the U.S. government understand threats posed by, for instance, Iranian regime objectives, the Chinese Communist Party, Russian disinformation campaigns, North Korean strategic ambitions, and other adversarial actors. Research on these topics may require engagement with foreign experts, institutions, or networks for analytic purposes. Without clarification, work intended to help the United States understand and respond to adversarial foreign actors could be misconstrued as an affiliation with entities or networks that are the subject of the research.

Recommendation: OMB should amend § 200.206(b)(2)(viii) to require that any affiliation finding be based on evidence that the applicant's relationship with the organization was for the purpose of supporting or furthering the activities that make it disqualifying—not merely contacting, studying, interviewing members of, or collecting data about such organizations for legitimate research

¹⁴ Brian A. Jackson, Tora K. Bikson, and Patrick P. Gunn, "Human Subjects Protection and Research on Terrorism and Conflict," *Science*, Vol. 340, No. 6131, April 26, 2013.

¹⁵ The Department of War is designated the Department of Defense under Public Law 81-216, National Security Act Amendments of 1949.

¹⁶ U.S. Code, Title 34, Crime Control and Law Enforcement; Subtitle I, Comprehensive Acts; Chapter 101, Justice System Improvement; Subchapter VII, Administrative Provisions; Section 10231, Confidentiality of Information.

purposes. Research engagement with adversarial actors, including communication with members, analysis of their materials, and protection of research participants' identities under applicable human subjects protocols, should be explicitly excluded from the definition of disqualifying affiliation. A standard that does not draw this distinction will suppress the federally funded research that provides the government its most detailed understanding of the threats it faces.

Theme 3. Rule Changes That Create Ambiguities About Allowable Costs

Several provisions governing publication costs, conference attendance, and institutional subscriptions use language with two plausible readings: one that is consistent with current practice and one that would impose significant compliance burdens and unrecoverable costs.

[200.461] Publication and Printing Costs

Publication is critically important for the scientific enterprise. It is a small fraction of research costs but one of the principal mechanisms by which federal investments in research create value. Publication of research findings makes them discoverable so that others can learn from, build on, or replicate them. Scientific publication subjects findings to expert peer review, an important part of the research quality assurance process designed to ensure that findings are rigorous and meet many of the other objectives of Gold Standard Science in Executive Order 14303.¹⁷

There is also a growing demand among members of the public that research paid for with public funds be made publicly available. In response to these pressures, the academic publishing industry has increasingly shifted to open-access business models in which publishers' revenue comes less through traditional subscriptions and more through article processing charges (APCs) charged to authors.

Recipients currently manage these costs as a project budget item: APCs are estimated and included as a line item in grant proposals, reviewed by the federal agency as part of budget approval, and charged to the award when incurred. This process gives agencies visibility into and control over publication expenditures before awards are made.

The proposed revision to § 200.461 makes publication costs unallowable by default, with an exception for costs "approved in advance by the Federal agency on a case-by-case basis." This language is ambiguous. If designed to preserve the existing budget-approval practice, it would not change current operations. However, "case-by-case basis" could be read to require separate agency authorization for each individual publication during the period of performance—which would be unworkable at scale. This ambiguity creates an audit risk for any award carrying a publication cost line item without explicit publication-specific authorization language, even where the budget was reviewed and approved by the awarding agency.

Recommendation: OMB should add a clarifying sentence to § 200.461(b) confirming that publication costs included in an approved award budget satisfy the "approved in advance by the Federal agency on a case-by-case basis" requirement. This would preserve agency cost-control

¹⁷ Executive Order 14303, "Restoring Gold Standard Science," Executive Office of the President, May 23, 2025.

authority at the proposal stage, maintain the existing check against unanticipated charges, and eliminate compliance uncertainty on active awards. In contrast, a rule that makes publication charges unreimbursable would diminish the government's returns on science investment and reduce transparency.

[200.432] Conference Attendance

The proposed revision requires that conference attendance costs be allowable only if participation is “expressly approved by the Federal agency and included in the terms and conditions of the Federal award.” The preamble states that the intent is to ensure that conference attendance advances program objectives.

The proposed text, however, is ambiguous. “Expressly approved by the Federal agency” could mean that a conference travel line item in an approved award budget is sufficient, or it could mean that each individual conference requires separate agency authorization. “Included in the terms and conditions of the Federal award” could mean a standard terms and conditions (T&C) provision authorizing conference participation that advances program objectives—language that many agencies already include—or it could require a formal award modification naming each conference, which would require grants management officer action for each conference.

If the more demanding interpretation governs, the provision would impose significant administrative burden on both recipients and agency grants management offices. Which conferences project personnel will attend is often unknowable when proposals are submitted: New meetings and conference opportunities evolve rapidly, but attendance at such events often occurs a year or more after award. Attendance is also often contingent on proposed abstracts being accepted by conference organizers. Proposals typically include estimated conference costs based on historical data and placeholder destinations, conditioned on the determination that conference attendance is necessary to support award performance. Actual costs for specific conferences are incurred and reimbursed by the agency at the time of the event. A per-conference T&C amendment process would be unworkable at scale and would delay or prevent attendance at legitimate scientific venues.

Recommendation: OMB should clarify that conference attendance costs are allowable under § 200.432(b) when (1) a conference budget has been approved as part of the federal award and (2) the award's terms and conditions include a standard provision authorizing attendance at conferences that advance program and project objectives. This would achieve OMB's stated purpose without requiring per-conference approvals or formal T&C amendments.

[200.454] Memberships, Subscriptions, and Professional Activity Costs

Access to current scientific literature is a prerequisite for conducting quality federally funded research: Researchers must know what has already been done, what methods are current, and where their findings fit in the existing body of knowledge. It is not possible to replicate research—as sought through Gold Standard Science—if researchers cannot review what has been done previously. Restricting institutions' ability to recover the cost of that access degrades the quality of the research that the federal government is funding.

The proposed revision to § 200.454(b) makes subscriptions to academic and technical periodicals categorically unallowable. Under federal cost accounting principles, costs designated as unallowable may not be included in an organization's indirect cost pool. The practical effect of making library subscriptions unallowable is therefore to eliminate their recoverability entirely—neither as a direct charge nor through the facilities and administrative (F&A) rate. Although the preamble indicates that the intent is to eliminate discretionary costs unrelated to award performance—grouping subscriptions with country club memberships and lobbying organization memberships—the regulatory text makes no such distinction. As written, § 200.454(b) sweeps in institutional library subscriptions and database licenses that are fundamental to research operations and are currently recovered as F&A costs.

For research-intensive organizations, institutional journal database subscriptions are a major annual cost, but this cost supports every federally funded project simultaneously. If institutional libraries cannot be maintained in part through indirect costs, federal research proposal budgets would necessarily include article purchase costs as direct charges. Purchasing articles individually as direct costs available only to the individual researchers on a project team would almost certainly be more expensive than including library subscription costs among allowable indirect costs, because (1) individual article purchase is very expensive, (2) many studies require access to dozens or hundreds of papers, and (3) across an institution and over time, many articles would be purchased repeatedly, because they would not be shared through a library.

Recommendation: OMB should revise § 200.454(b) to distinguish between individual subscriptions to periodicals (which the provision appears to target) and institutional library subscriptions and database licenses recovered as part of an organization's approved indirect cost rate. Institutional library costs allocated through an approved F&A rate should remain allowable. Alternatively, OMB should add an explicit exception confirming that § 200.454(b) does not apply to costs included in an organization's negotiated indirect cost rate agreement. OMB should not make a rule that prohibits library costs, which would conflict with the objectives of Gold Standard Science and would either drive up direct costs with per-article purchasing or shift the costs of library access to nonfederal funds—an option that may not be available to smaller research institutions with constrained budgets.

Conclusion

The United States leads the world in science, research, and analysis. For nearly eight decades, federal grants and cooperative agreements have supported researchers and institutions that are pursuing long-horizon questions that the private sector does not typically fund. That investment has paid returns in national security, public health, education, economic productivity, and democratic governance that exceed its costs.¹⁸ Preserving the conditions under which that investment remains productive is therefore an interest of national importance.

OMB's proposed rule would make large-scale changes to the regulatory framework governing federal research investments. These changes would affect every federal agency, research institution, and grant program in the country. Some of the changes would advance OMB's stated objectives of reducing waste, increasing accountability, and ensuring that federal funds serve their intended purposes. Other changes identified in this comment risk driving up agency and recipient burden and costs, wasting public resources, and harming the institutions and practices that have generated returns on federal research investments that Americans depend on.

OMB can achieve its accountability objectives without risking valuable research resources available to the government. To that end, OMB should revise the provisions identified in this comment to reflect the distinctive requirements of research grants, provide the evidentiary basis for new compliance requirements that the RIA currently omits, and ensure that the final rule strengthens rather than harms the federal research partnership.

¹⁸ See Andrew J. Fieldhouse and Karel Mertens, "The Returns to Government R&D: Evidence from U.S. Appropriations Shocks," Working Paper No. 2305, Federal Reserve Bank of Dallas, revised November 2024; Benjamin F. Jones and Lawrence H. Summers, "A Calculation of the Social Returns to Innovation," NBER Working Paper No. 27863, National Bureau of Economic Research, September 2020; and RAND Corporation, *Saving the Government Money: Recent Examples from RAND's National Security-Related Federally Funded Research and Development Centers*, CP-A2893-1-v2, 2025, https://www.rand.org/pubs/corporate_pubs/CPA2893-1-v2.html.